

Once the head completed, things start going wrong for our buddy. He was swayed by glowing rumors of the stock moving up to 35 or 40 within a year.

At the top, price rounded over and started down. It stopped midway between the valleys of the two left shoulders before making one final attempt at a new high. Up to this point, there were several opportunities to sell the stock at a good price. Did our novice investor take them? No. Always optimistic that price would ultimately break out and reach higher ground, he did not see the budding complex head-and-shoulders for what it was: a warning.

When price dropped below the neckline, our novice investor had just 2 days before things really got ugly. On the third day the stock closed at 23, near the low for the day. Price quickly unraveled and ultimately reached a low of 15, just a few dollars above the purchase price. Our investor threw in the towel and sold the stock. Of course, this was near the low, and the stock ultimately climbed to 30 a year later.

Identification Guidelines

How can our novice investor recognize the bearish reversal? [Table 42.1](#) outlines identification tips for complex head-and-shoulders tops.

Appearance. Consider [Figure 42.3](#), which is another example of a multiple shoulder complex top. After a decline from a head-and-shoulders pattern just off the left side of the chart (only the right shoulder appears in the figure), price declines until reaching bottom at the start of July. Then it rises and creates a new head-and-shoulders pattern: a complex top. Admittedly, the higher two right shoulders are weak examples of shoulders. The minor highs are there but are not as pronounced as the corresponding pair to the left of the head.

If you ignore the labels for a moment, the inner price action looks like a rounding top. This smooth price rollover is common for complex head-and-shoulders tops.

Symmetry. You can divide [Figure 42.3](#) into a pure head-and-shoulders top by ignoring the outer shoulders. For single-head patterns, this is the easiest way to correctly identify a complex head-and-shoulders top. First locate a